



The Institutional Guide to Onchain Financing

How institutions can access onchain returns with underwriting, monitoring, and operational infrastructure.



A new layer of credit markets has quietly matured.

Active lending volumes in the billions. Yields set by real borrower demand – not policy benchmarks. Risk that is transparent and observable in real time. And a growing infrastructure layer purpose-built to make participation operationally viable for institutional allocators.

For institutions managing idle crypto collateral, treasury reserves, or balance sheet efficiency, the question is no longer whether the opportunity exists. It's whether the right framework exists to access it. **In our view, it does.**

This report examines the evolution of onchain credit markets, key operational and risk considerations, and the frameworks institutions can use to evaluate and participate in DeFi lending with greater confidence.

THANK YOU FOR READING

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Max Bareiss leads the crypto lending efforts, focusing on BTC-collateralized loans, margin financing, and prime brokerage solutions that keep assets on platform while optimizing liquidity for institutional clients.

For any questions about this guide or to get in touch with our lending desk.





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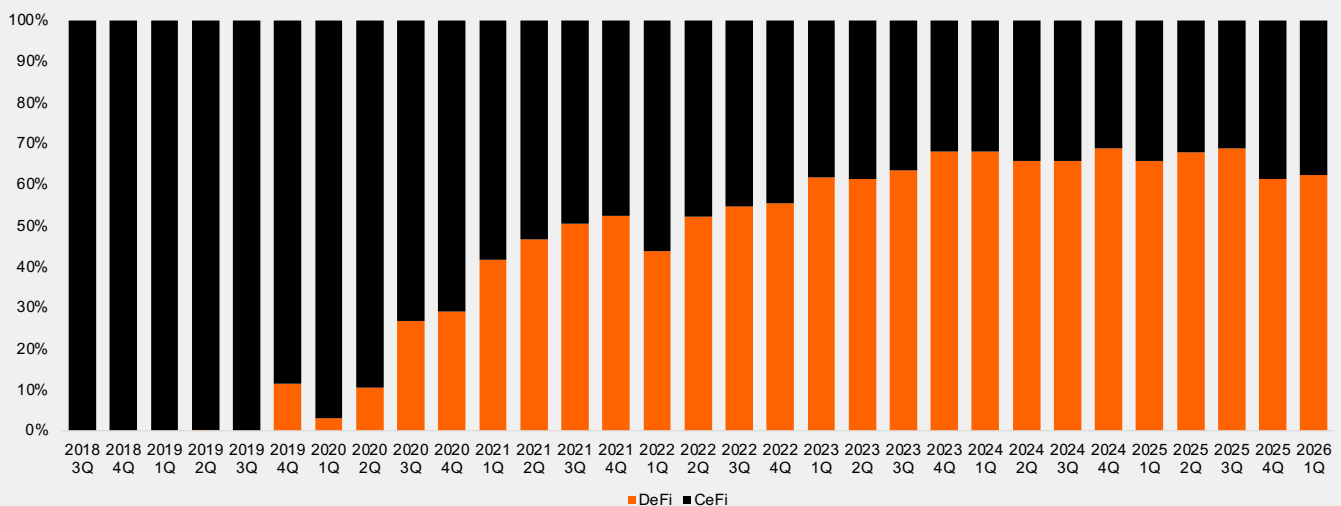
Executive Summary

DeFi markets have matured into a functioning layer of global financial infrastructure. What was once an experimental subset of decentralized finance now supports tens of billions in active lending activity, with participation spanning market makers, funds, and increasingly institutional allocators.

At the same time, the structure of the market has shifted. Following the dislocations of 2022–2023, decentralized lending has taken share from centralized lenders, with activity consolidating into transparent, overcollateralized systems.¹

DeFi lending vs. CeFi lending market share

DeFi lending has transitioned from a marginal activity to the dominant structure in crypto credit markets, surpassing centralized lenders following the 2022 dislocations.



Source: Galaxy Research / DeFi Lama

This transition has been accompanied by a change in the nature of yield itself—from incentive-driven returns to rates grounded in real demand for leverage and liquidity.

Yet institutional participation remains uneven.

Galaxy Research highlights that crypto-collateralized lending activity is inherently reflexive, expanding during periods of heightened market activity and contracting during periods of heightened drawdowns.² This cyclicity reflects a market where capital is continuously repriced based

on demand, rather than anchored to policy-driven benchmarks. Importantly, it also underscores that the underlying drivers of onchain credit—trading, market making, and balance sheet efficiency—remain persistent even as conditions change.

The constraint, therefore, is not access to yield. It is the ability to access that yield within an institutional framework of risk, control, and operational clarity.

As infrastructure begins to close this gap, the ability to participate in onchain credit is shifting from a technical capability to a competitive consideration.

[1] Galaxy Research, *The State of Crypto Leverage – Q1 2026*

[2] Galaxy Research, *Lending, Onchain Credit and Crypto Lending Trends*



The Opportunity: Yield Driven by Market Demand, Not Incentives

To understand the significance of DeFi credit today, it is necessary to distinguish between earlier phases of DeFi and the current market structure.

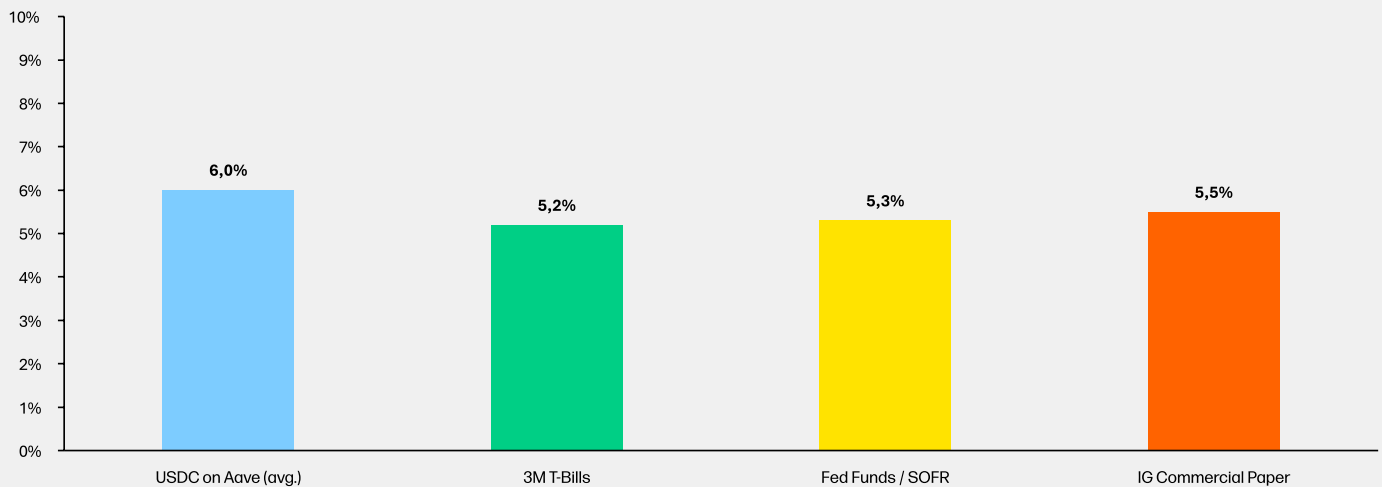
In its early form, DeFi yield was largely synthetic—driven by token incentives designed to attract liquidity. These returns were volatile and ultimately unsustainable, limiting their relevance for institutional capital.

That regime has largely given way to something more durable.

Today, lending activity across protocols such as Aave, Morpho, and others is increasingly driven by structural demand for capital. Borrowers are not seeking tokens; they are sourcing liquidity to support trading strategies, arbitrage, and broader balance sheet management. As a result, yields behave more like floating-rate credit markets, adjusting dynamically with utilization and demand.²

Stablecoin lending rates vs. traditional cash instruments

Unlike traditional instruments, onchain rates are dynamically set by supply and demand for leverage, rather than policy-driven benchmarks.



Source: CoinDesk Overnight Rate (CDOR) / DefiLlama; 3-Month Treasury Bill rate, Federal Reserve H.15 Selected Interest Rates (TB3MS); Federal Funds Effective Rate / SOFR, Federal Reserve Bank of New York; 3-Month AA Financial Commercial Paper rate, Federal Reserve H.15 Selected Interest Rates. Rates as of May 31 2026 and are illustrative; actual rates fluctuate daily.



Galaxy Research reinforces this shift. Borrowing activity is now closely tied to market conditions and trading demand, rather than incentive programs, with lending volumes expanding and contracting alongside broader market activity. This introduces a key distinction from traditional fixed income: rates in onchain markets are continuously set by supply and demand, rather than periodically influenced by policy.

In practical terms, this means institutions are engaging with a market where:

- Rates are market-clearing and responsive to real activity
- Liquidity is continuous rather than session-bound
- Risk is observable in real time rather than inferred from reporting cycles

The opportunity, therefore, is not simply incremental yield. It is participation in a credit system that is structurally different—and in many respects more transparent—than its traditional counterpart.

Why Institutional Capital Has Remained on the Sidelines

Despite these advantages, institutional participation has lagged.

This is often interpreted as skepticism toward the asset class. In practice, it is more accurately understood as a misalignment between how DeFi operates and how institutions are required to operate.

Direct engagement with onchain lending introduces a set of requirements that fall outside standard institutional processes. These include continuous collateral monitoring, interaction with multiple protocols, and exposure to smart contract risk—none of which are easily mapped to existing governance frameworks.

More critically, native DeFi lacks a concept that is foundational in traditional finance: defined recourse.

In traditional credit markets, risk is intermediated. Balance sheets absorb losses, margin processes introduce flexibility, and escalation paths exist in stressed conditions. In contrast, DeFi systems

rely on deterministic execution. Liquidations occur automatically when thresholds are breached, and losses are borne directly by the participant.

Galaxy's research into crypto leverage cycles highlights how quickly these dynamics can play out in practice. Periods of market stress have historically led to rapid deleveraging in onchain markets, as borrowing activity declines and positions are unwound.² While this reflects a system that is transparent and self-correcting, it also underscores the need for active management.

Institutions are not unfamiliar with risk. What they require is the ability to bound and govern it within a structured framework.

^[2] Galaxy Lending, Onchain Credit and Crypto Lending Trends



Case Study: The rsETH Exploit and Why Infrastructure Matters

The April 2026 rsETH exploit demonstrated that even when smart contracts function as intended, risks can emerge from external dependencies such as bridge configurations and collateral quality. The incident created significant disruption across Aave lending markets, triggering liquidity stress, elevated utilization rates, and large-scale withdrawals. For institutional allocators, the event reinforced a key lesson: transparency alone is insufficient. Effective participation requires continuous monitoring, collateral oversight, and structured risk management frameworks.

[Read Galaxy's Research](#)

Reframing Risk: From Transparency to Manageability

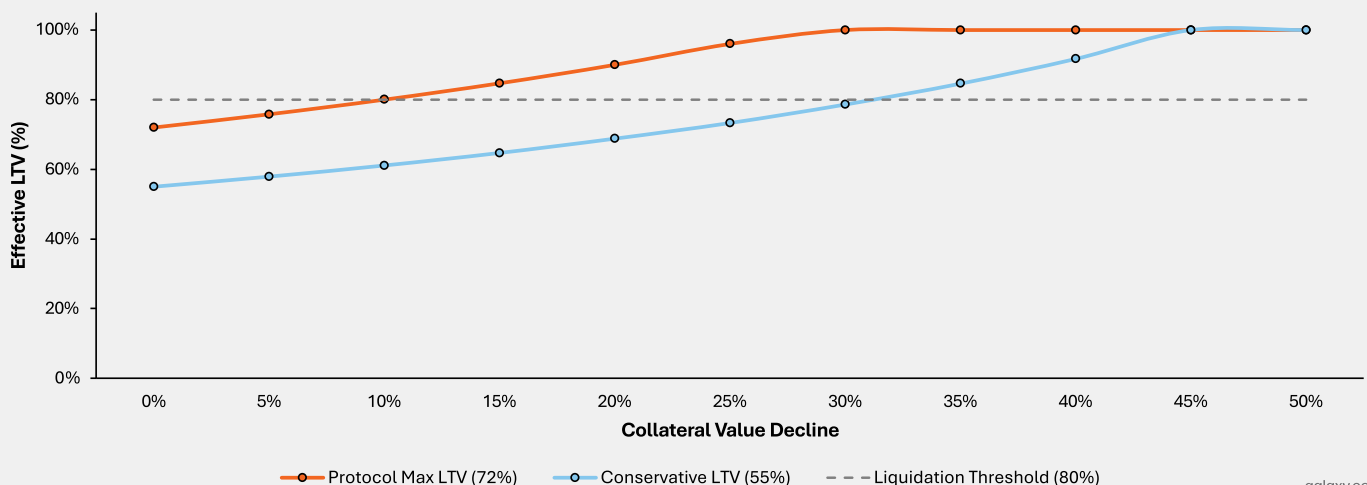
One of the defining characteristics of onchain credit is transparency. Collateral positions, utilization rates, and liquidation thresholds are visible in real time.

However, transparency alone does not make a system institution-ready.

The challenge is that risk in DeFi is unbundled. Protocol risk, market risk, and operational risk are not intermediated—they are passed directly to the end user. Managing this stack requires continuous oversight, technical expertise, and operational infrastructure.

Collateral thresholds and liquidation dynamics in DeFi

Lower starting LTVs and active collateral management reduce the probability of forced liquidation events.





Institutions typically operate well below protocol maximum LTVs and actively manage collateral positions as market conditions change. This requires continuous monitoring of collateral values, liquidation thresholds, and protocol-specific risk parameters.

While manageable, this operational burden scales across protocols and often requires dedicated infrastructure and expertise.

The result is a system that is highly transparent, but not inherently usable within an institutional context.

The Emergence of an Institutional Layer

What is now developing is an access layer that addresses this gap directly.

Rather than altering the underlying mechanics of DeFi, this layer introduces structure around them.

At its core, this model centralizes decision-making, introduces active risk management, and abstracts operational complexity.

Exposure is no longer managed at the individual protocol level, but through a unified allocation framework. Collateral is monitored and adjusted continuously, rather than reactively. Execution is handled through integrated systems, removing the need for direct interaction with onchain infrastructure.

In practical terms, this means institutions are not

required to manage wallets, monitor liquidation thresholds, or directly interface with protocols in order to access onchain yield.³

Equally important is the introduction of defined loss structures. Subject to applicable terms and conditions, dedicated capital is positioned as a first-loss buffer, absorbing initial losses before impacting client capital.¹ This is designed to create a form of recourse that does not exist in native DeFi, which may fundamentally reshaping the risk profile for participants.

Galaxy's [lending perspectives](#) consistently point to this as the missing layer: institutions do not lack interest in onchain yield—they lack the infrastructure to access it without effectively building and operating a DeFi desk.³

From Infrastructure to Allocation

The evolution of onchain credit can be understood as a transition from infrastructure to allocation.

In its native form, DeFi provides the mechanisms for lending and borrowing, but does not package those mechanisms into something that can be easily deployed within institutional workflows.

The introduction of an institutional layer changes that dynamic.

Capital can now be deployed through a single interface, with exposure diversified across protocols and managed in real time.

Rates are no longer sourced from a single venue, but constructed through allocation across multiple markets, producing a blended output that reflects both yield and risk considerations.

[1] Galaxy Research, *The State of Crypto Leverage – Q1 2026*

[3] Galaxy Research, *Block by Block: How the rsETH Exploit Rattled Aave Lending Markets*



Structural comparison: onchain credit vs. traditional fixed income

Onchain credit introduces a level of transparency and programmability not present in traditional fixed income markets.

Feature	T-Bills	Money Markets	Repo	On-Chain Credit
Yield driver	Policy rate	Credit spread	Balance sheet	Leverage demand
Transparency	Low	Medium	Medium	High (real-time)
Liquidity	High	High	High	High
Risk visibility	Low	Medium	Medium	Continuous
Programmability	None	Low	Low	Full (smart contracts)

Source: Galaxy Research / DeFi Llama

galaxy.com

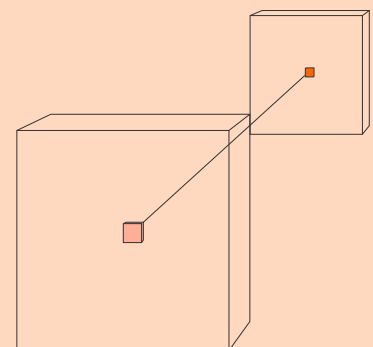
This shift, from fragmented infrastructure to integrated product, is what enables institutional participation at scale. It allows institutions to engage with onchain credit in a way that aligns with existing governance structures and operational requirements.

How Institutions Are Accessing Onchain Financing Today

Galaxy's Onchain Financing Rate (GOFR) is one example of how institutional access to onchain credit is being implemented in practice.

The program aggregates rates across leading DeFi lending venues and delivers a single, blended financing rate, paired with active collateral management, continuous monitoring, and institutional operational infrastructure.

[View Galaxy's Rates](#)





Who This Is For: Institutional Profiles and Use Cases

The case for participating in onchain financing depends on how a firm holds crypto assets, how it manages balance sheet efficiency, and what governance standards it operates under. The following profiles reflect the categories of institutions for which onchain financing is most immediately applicable—and the specific use cases each is best positioned to pursue.

001

Institutions with Idle Crypto Collateral

Holders of BTC, ETH, SOL, or stablecoin reserves that are not actively generating return represent the clearest entry point into onchain financing. These assets can be deployed into lending markets without requiring sale or strategic repositioning, generating yield against existing inventory while maintaining custody and governance controls.

Use case: Idle collateral yield with minimized operational burden. Deployment via a managed allocation framework removes the need to interact directly with protocols, monitor liquidation thresholds, or manage wallets internally. Institutions receive yield on assets that would otherwise sit unproductive on their balance sheet.

002

Market Makers and Proprietary Trading Firms

Market makers and prop desks operate with capital-intensive inventory positions that cycle continuously. Onchain financing provides a scalable, institutionally wrapped source of funding that can be accessed without the counterparty concentration risk inherent in bilateral lending arrangements. For firms holding inventory between trades, it also creates an additional avenue for

Use case: Scalable inventory funding with yield on idle positions. An institutional access layer provides the operational wrapper—execution, monitoring, reporting—that allows these firms to participate in onchain credit markets without building dedicated DeFi infrastructure internally.



003

Funds and Corporate Treasuries

Investment funds and corporate treasury functions face a distinct set of constraints. Governance requirements, fiduciary obligations, and internal compliance standards typically preclude direct DeFi participation. At the same time, the economics of holding significant digital asset reserves without generating return are increasingly difficult to justify as onchain yield becomes more accessible and

Use case: Treasury optimization across venues with centralized risk management and reporting. Managed allocation across protocols provides governance-compatible access to onchain yield—with consolidated reporting, defined incident-response procedures, and risk controls that can be mapped to existing investment policy frameworks.

Across all three profiles, the common thread is the same: the constraint is not appetite for yield, but access to yield within a structured institutional framework. The use cases described above are not theoretical—they reflect the ways in which the institutional access layer described in this paper is being used today.

Conclusion

Onchain credit is no longer an emerging concept. It is an operational market, with real borrowers, persistent demand for leverage, and yields grounded in economic activity.

The reason institutions have not yet participated at scale is not a lack of awareness or opportunity. It is the absence of infrastructure aligned with how institutional capital is deployed.

That gap is now closing.

As risk becomes structured, operations become abstracted, and exposure becomes governable, onchain credit transitions from something that must be navigated directly to something that can be allocated to deliberately.

For institutions, the question is no longer whether the opportunity exists.

It is how—and when—to access it.



Key Takeaways

- 01 **Onchain credit has matured into a multi-billion-dollar market** supporting real lending activity from market makers, hedge funds, and institutional participants.
- 02 **DeFi lending has gained market share from centralized lenders** following the 2022-2023 market dislocations, driven by greater transparency and overcollateralized structures.
- 03 **Today's yields are increasingly demand-driven**, reflecting borrowing activity for trading, arbitrage, and liquidity management rather than token incentives.
- 04 **Onchain rates function more like floating-rate credit markets**, continuously repriced based on supply and demand rather than central bank policy.
- 05 **Risk is visible in real time** with collateral positions, utilization rates, and liquidation thresholds observable onchain.
- 06 **Institutional adoption has been constrained by operational complexity** including protocol selection, collateral management, and smart contract risk oversight.
- 07 **The primary challenge is not access to yield**, but access to yield within institutional risk, governance, and operational frameworks.
- 08 **An emerging institutional access layer is bridging this gap** through active risk management, monitoring, and simplified execution.
- 09 **Diversified, multi-protocol allocation frameworks can improve risk-adjusted outcomes** compared to managing exposure at individual protocol levels.
- 10 **The opportunity for institutions is evolving from infrastructure management to capital allocation**, enabling participation in onchain credit through familiar investment and treasury workflows.



Glossary of Key Terms

Collateral

Assets pledged to secure a loan. In onchain lending markets, borrowers typically post collateral worth more than the amount borrowed, creating an overcollateralized structure.

DeFi (Decentralized Finance)

A set of blockchain-based financial applications that enable lending, borrowing, trading, and other financial activities without traditional intermediaries.

Liquidation

The sale or seizure of collateral when a borrower's loan-to-value ratio exceeds a predefined threshold. DeFi liquidations are executed programmatically by smart contracts.

Loan-to-Value (LTV)

The ratio of a loan's value relative to the value of the collateral securing it. Lower LTVs generally provide a greater buffer against market volatility.

Onchain Credit

Lending and borrowing activity executed through blockchain-based protocols, where transactions, collateral positions, and risk parameters are visible on public ledgers.

Overcollateralization

A lending structure in which borrowers must post collateral worth more than the amount borrowed. This is the dominant risk management framework in DeFi lending markets.

Protocol Risk

The risk associated with the underlying technology, governance, or smart contract architecture of a DeFi protocol.

Institutional Access Layer

A framework that provides governance, risk management, monitoring, reporting, and operational infrastructure, enabling institutions to access onchain credit markets without directly managing protocol interactions.

Stablecoin

A digital asset designed to maintain a stable value relative to a reference asset, most commonly the U.S. dollar. Stablecoins are the primary funding currency in many onchain lending markets.

Utilization Rate

The percentage of supplied assets that are currently borrowed within a lending protocol. Utilization is a key driver of borrowing costs and lending yields.

Yield

The return earned on deployed capital. In onchain lending markets, yield is typically generated from borrower demand for leverage and liquidity rather than from token incentives.

Market-Clearing Rate

An interest rate established through the interaction of supply and demand for capital, rather than through policy benchmarks or fixed pricing schedules.

Real-Time Risk Visibility

The ability to continuously observe collateral positions, utilization levels, and other risk metrics through publicly accessible blockchain data.

Smart Contract

Self-executing software deployed on a blockchain that automatically enforces predefined rules and conditions without requiring manual intervention.



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